

CONTROLLED SOUTH AFRICAN BENCHMARK

Outsourcing Governance Policy

South African insurance operations | Directive 159 validation pack

Owner: Legal & Compliance | Approval: Board | Version: Benchmark 1.0 | Date: 25 July 2026

Benchmark notice: This policy is intentionally incomplete. It contains controlled complete, partial, and missing coverage so the Policy Gap Reviewer can be measured against known answers. It is not an operational legal policy and must not be used for production compliance.

1. Purpose and Policy Status

1.1 The insurer must maintain this Board-approved outsourcing governance policy for its South African insurance operations under FSCA Directive 159.

2. Scope and Applicability

2.1 For South African operations under FSCA Directive 159, this policy applies to all aspects of the insurer's insurance business that are or may be outsourced to another person and does not apply to intermediary services.

2.2 Under FSCA Directive 159, this policy applies when the service provider is a related party or an inter-related party of the insurer.

3. Governance and Accountability

3.1 The Board of Directors and managing executives of the insurer must remain responsible for the insurer's insurance business regardless of any outsourcing arrangement.

4. Materiality Classification

4.1 Under South African FSCA Directive 159, for every proposed outsourcing the insurer must determine whether the arrangement concerns a control, management or material function by considering the potential impact on policyholders, finances, reputation and insurance business operations, including a significant part of the business, if the service provider fails to perform over a given period.

4.2 When determining materiality, the insurer must confirm that it can maintain appropriate internal controls during the outsourcing arrangement.

5. Service-Provider Due Diligence

5.1 Before outsourcing a control, management or material function, the insurer must assess whether the proposed service provider is fit and proper by evaluating both competence and integrity.

5.2 Before outsourcing a control, management or material function, the insurer must assess the service provider's operational capability to deliver the proposed outsourced function or activity.

6. Written Contract Requirements

6.1 Every applicable written outsourcing contract must specify the type of function or activity to be performed by the service provider.

6.2 Every applicable written outsourcing contract must specify the service level to be delivered to the insurer.

6.3 Every applicable written outsourcing contract must address confidentiality, privacy and the security of information belonging to the insurer and its policyholders.

6.4 Every applicable written outsourcing contract must provide for business-contingency processes that ensure continuity of the outsourced function if the service provider enters curatorship or business rescue, becomes insolvent or is liquidated, or is otherwise unable to continue performing the function.

6.5 Every applicable written outsourcing contract must require the service provider to secure and maintain insurance sufficient to support its ability to fulfil its contractual obligations.

7. Regulatory Reporting

7.1 For a proposed outsourcing of a control, management or material function, the insurer must notify the South African Registrar under FSCA Directive 159 before the outsourcing contract becomes effective.

7.2 During an outsourcing contract, the insurer must immediately notify the South African Registrar under FSCA Directive 159 of any material development, including pending termination or material non-performance.

8. Legacy Arrangements

8.1 A South African outsourcing arrangement entered into before Directive 159 took effect must comply with the Directive whenever the related contract is extended, renewed or amended.

9. Availability and Information Sharing

9.1 The insurer must bring FSCA Directive 159 to the attention of its appointed auditors and its statutory actuary where a statutory actuary has been appointed.

10. Controlled Omissions

Several benchmark controls are deliberately absent. The separate known-answer matrix identifies those omissions; they are not described in this policy so that absence detection can be tested without contaminating policy evidence.